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ABSA Kenya FY'23 Earnings Note

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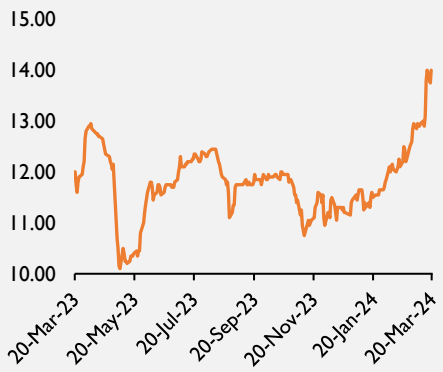


ABSA Bank Kenya FY'23 Earnings Note

March 21st, 2024

Ticker Information	
NSE Code:	ABSA
Issued Shares (Bn):	5.43
52-week high:	KES 14.00
52-week low:	KES 10.10

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	14.8%	24.4%	18.6%	16.7%

Source: NSE, AIB-AXYS Research

Analysts

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Recommendation	Current Price	Target Price
BUY	**KES 13.90**	**KES 16.00**

Summary

- **ABSA Bank Kenya met in-house expectations to record a modest 12.2% y/y growth in net earnings to KES 16.37Bn throughout 2023.** The expansion in revenue was propelled by organic demand growth and margin expansion across both wholesale banking and retail segments. Net Interest Margins widened to 8.8% on account of higher reinvestment yields on interest-earning assets.
- **The Board of Directors recommend a final Dividend of KES 1.35 per share.** In addition to the earlier issued interim dividend of KES 0.20, this raises the total FY'23 dividend to KES 1.55. This distribution aligned our projected dividend range of KES 1.45 - KES 1.55 – translating to a dividend payout ratio of 51.5%. The dividend will be payable on 23rd May 2024 to shareholders on register as of 30th April 2024.

Key Highlights

- **Resilient Core Banking Performance:** Net Interest Income surged 23.9% y/y to KES 40.04Bn propelled by organic loan demand growth accentuated by loan up-pricing under the risk-based pricing regime while non-funded income grew 6.3% y/y to KES 14.53Bn. The income mix tilted to 73:27 from 70:30 a year prior in favor of net interest income. The average yield on interest earning assets paced up 290bps y/y to 12.5% - reflecting higher reinvestment returns – whereas the cost of funds increased 110bps y/y to 3.8% owing to the rising interest-rate environment. Consequently, net interest margin widened remarkably by 180bps y/y to 8.8%.
- **Pressurized Asset Quality:** Gross Non-Performing Loans (NPLs) increased significantly by 56.6% y/y to KES 35.25Bn – driving a 230bps y/y jump in the NPL ratio to 9.6%. In response, management raised credit impairment provisions by 42.7% y/y, demonstrating its cautious approach amidst considerable macroeconomic uncertainty. This invariably raised the cost of risk by 50bps y/y to 2.8%.

Balance Sheet Dynamics

Customer deposits grew 19.4% y/y to KES 362.75Bn supporting the 18.4% y/y loan book expansion to KES 335.71Bn. In response to the attractive margins on customer assets and the necessity to maintain operational liquidity, management reduced the allocation to government securities by 28.7% y/y to KES 95.15Bn. Notably, KES 2.1Bn worth of loans were restructured to assist consumers amidst challenging operating conditions. Furthermore, it's noteworthy that two-thirds of the balance sheet is in local currency, while one-third is in foreign currency, effectively insulating the balance sheet from the currency fluctuations witnessed in 2023.

Enhanced Efficiency

The Cost-to-Income ratio (excluding loan-loss provisions) declined 90bps y/y to 39.7% attributable to the stronger double-digit growth of operating income by 18.7% y/y to KES 54.57Bn relative to the 17.5% y/y growth in pre-provision operating expenses. The rise in expenses was mainly due to the expansion of personnel to execute the overall growth strategy. Management outlined their raising their cost-to-income ratio to their medium-term target of 45% - notably via their expansion of the existing branch network to increase their outreach both domestically and the global diaspora at large.

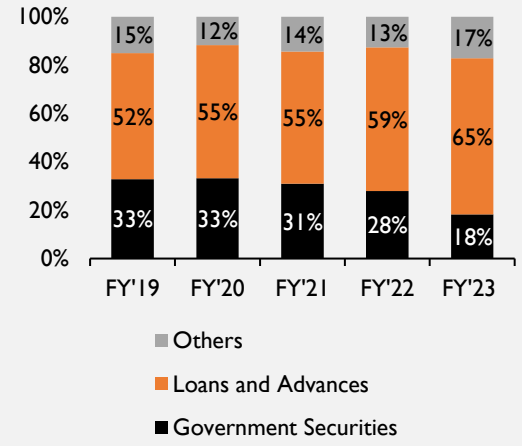
Outlook:

We anticipate the lender's long-term growth will be propelled by dual growth in wholesale and retail propositions, enabled by innovative digital banking solutions. We expect cross-selling synergies across subsidiary divisions such as asset management and bancassurance will continue fronting growth, contributing to the bank's long-term value. However, we remain concerned about looming asset quality pressures.

Recommendation

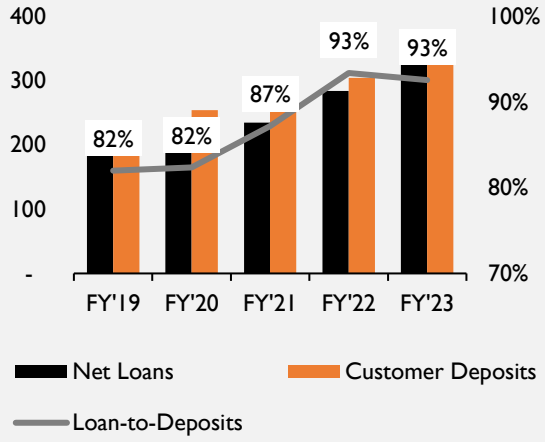
- **We revise our recommendation to *BUY* on ABSA Bank Kenya on account of its resilient return on equity momentum and promising revenue growth prospects.** At the current market price, the stock is trading at P/E ratio of 4.6x and a P/B ratio of 1.1x. Our one-year target price for ABSA currently stands at KES 16.00 per share - representing a c.15.1% upside potential from current levels.

Chart 2: Pivoting Towards Customer Assets



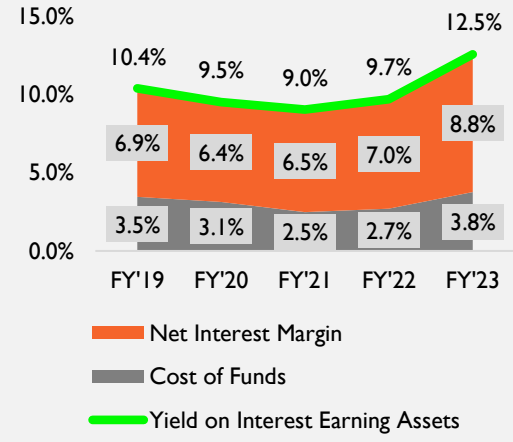
Source: Company filings, AIB-AXYS Research.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Widening Net Interest Margin



Source: Company filings, AIB-AXYS Research.

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Income Statement (KES Bn)	FY'19	FY'20	FY'21	FY'22	FY'23	y/y % Change
Net Interest Income	23.18	23.38	25.26	32.32	40.04	▲ 23.9%
Net non-Interest Income	10.59	11.14	11.66	13.67	14.53	▲ 6.3%
Total Operating income	33.77	34.52	36.92	45.99	54.57	▲ 18.7%
Provision for Impairment	(4.20)	(9.03)	(4.71)	(6.48)	(9.24)	▲ 42.7%
Total Operating expenses	(21.49)	(25.67)	(21.37)	(25.14)	(30.89)	▲ 22.9%
Profit before tax	10.75	5.65	15.55	20.85	23.68	▲ 13.6%
Profit after tax	7.46	4.16	10.87	14.59	16.37	▲ 12.2%
Annualized EPS	1.37	0.77	2.00	2.69	3.01	▲ 12.2%
DPS	1.10	-	1.10	1.35	1.55	▲ 14.8%

Balance Sheet (KES Mn)	FY'19	FY'20	FY'21	FY'22	FY'23	y/y % Change
Government Securities	123.00	126.06	132.58	133.49	95.15	▼ (28.7%)
Loans and Advances	194.89	208.85	234.23	283.58	335.71	▲ 18.4%
Total Assets	373.98	379.44	428.69	477.23	519.80	▲ 8.9%
Customer Deposits	237.74	253.63	268.72	303.75	362.75	▲ 19.4%
Total Liabilities	328.79	332.94	372.24	413.62	450.60	▲ 8.9%
Shareholder's Funds	45.19	46.50	56.45	63.61	69.20	▲ 8.8%

Ratio Analysis	FY'19	FY'20	FY'21	FY'22	FY'23	y/y % Change
Spreads Analysis						
Yield on Assets	10.4%	9.5%	9.0%	9.7%	12.5%	▲ 2.9%
Cost of Funds	3.5%	3.1%	2.5%	2.7%	3.8%	▲ 1.1%
Net Interest Margin	6.9%	6.4%	6.5%	7.0%	8.8%	▲ 1.8%
ROE	16.7%	9.1%	21.1%	24.3%	24.6%	▲ 0.3%
ROA	2.1%	1.1%	2.7%	3.2%	3.3%	▲ 0.1%
Profit Margin	22.1%	12.1%	29.4%	31.7%	30.0%	▼ (1.7%)
Operating Efficiency						
Cost to Income Less LLP	51.2%	48.2%	45.1%	40.6%	39.7%	▼ (0.9%)
Cost to Assets Less LLP	4.9%	4.4%	4.1%	4.1%	4.3%	▲ 0.2%
Loan to Deposit Ratio	82.0%	82.3%	87.2%	93.4%	92.5%	▼ (0.8%)
Asset Quality						
Total NPL Ratio	6.6%	7.7%	7.9%	7.3%	9.6%	▲ 2.3%
NPL Coverage	77.0%	71.1%	77.7%	80.5%	65.8%	▼ (14.7%)
Cost of Risk	2.2%	4.3%	2.0%	2.3%	2.8%	▲ 0.5%
Capital Adequacy						
Core Capital/TRWA	13.9%	14.7%	14.6%	14.6%	13.6%	▼ (1.0%)
Total Capital /TRWA	16.6%	17.5%	17.1%	18.6%	18.1%	▼ (0.5%)
Liquidity	39.8%	38.7%	38.3%	34.0%	31.1%	▼ (2.9%)



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